The Spotted Ape · hello@thespottedape.com

Sample decision record

Cape Manufacturing: rooftop solar.

Fictional teaching case. Not investment advice.

The question

Which solar proposal should we take forward, and what must we verify before signing a contract?

Alternatives

Proposal	Cost	Value over 20 years	Pays back	Supplier's self-use
A 60 kWp	R650 000	R2.15m	Year 3	90%
B 80 kWp	R820 000	R2.66m	Year 3	85%
C 100 kWp	R990 000	R2.87m	Year 4	78%

We chose

Proposal C, on one condition. It is worth about R210 000 more than B over 20 years, but only if we really use 74% or more of what it generates. The supplier says 78%. Nobody has checked.

What would have to be true

The factory uses at least 74% of the electricity C generates. Below that, B is worth more.

What we gave up

R170 000 more capital than B, a payback one year slower, and B's margin for error if our usage falls.

What we won't do

Let Supplier C's claim of lower environmental impact count until it is independently verified. Model tax, VAT or financing in this decision.

Owner

The Financial Director. Prepared by the commercial analyst.

Look again when

Before signing: twelve months of meter data put our self-use below 74%. Then take B. After installation: year-one generation or self-use runs more than 10% below the proposal.

Figures are our own model of the case assumptions: R2.80/kWh rising 6% a year, a 10% discount rate, 0.5% annual panel degradation, maintenance rising 5% a year, 20 years of year-end cash flows. Cape Manufacturing is fictional.